

Mark Scheme (Results)

Practice Paper (Advanced Level)

Pearson Edexcel GCE

In Economics B (8EB0)

Paper 2: The Wider Economic Environment

General Marking Guidance

- All candidates must receive the same treatment. Examiners must mark the first candidate in exactly the same way as they mark the last.
- Mark schemes should be applied positively. Candidates must be rewarded for what they have shown they can do rather than penalised for omissions.
- Examiners should mark according to the mark scheme not according to their perception of where the grade boundaries may lie.
- There is no ceiling on achievement. All marks on the mark scheme should be used appropriately.
- All the marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved, i.e. if the answer matches the mark scheme. Examiners should also be prepared to award zero marks if the candidate's response is not worthy of credit according to the mark scheme.
- Where some judgement is required, mark schemes will provide the principles by which marks will be awarded and exemplification may be limited.
- When examiners are in doubt regarding the application of the mark scheme to a candidate's response, the team leader must be consulted.
- Crossed out work should be marked UNLESS the candidate has replaced it with an alternative response.

Section A

Question Number	Mark
1(a)	(2)
Knowledge/understanding 2 The total demand (1) from all sources in the economy (1) <i>NB accept any other suitable alternative. Do not award marks for examples</i>	

Question Number	Mark
1(b)	(4)
Knowledge/understanding 1, Application 3 Knowledge/understanding: 1 mark for Formula for unemployment: Number of Unemployed × 100 (1) / Labour force Application: 1,403,000 (1) × 100 = 4.10% (1) / 34,206,000 (1) NB if no working is shown award marks as below: - If the answer given is 4.10% award 4 marks - If the answer given is 4.10 award 3 marks - If the answer given is 4.1% award 3 marks - If the answer given is 4.1 award 2 marks	

Question Number	Mark
1(c)	(4)
Knowledge/understanding 1, Application 3 Knowledge/understanding: 1 mark for formula for calculating real earnings e.g. nominal earnings - rate of inflation (1) Application: 5.94% (1) - 4.62% (1) = 1.32% (1) NB if no working is shown award marks as below: • If the answer given is 1.32% award 4 marks • If the answer given is 1.32 award 3 marks • If the answer given is 1.3% award 3 marks • If the answer given is 1.3 award 2 marks	

Question Number	Indicative content	Mark
1(d)	Knowledge 2, Application 2, Analysis 2, Evaluation 2	(8)
- Subscription-based business models charge customers a recurring fee, typically monthly or annually, in exchange for ongoing access to a product or service. - Such models give firms a more predictable revenue stream, which makes financial planning and investment decisions easier. - Streaming services such as Netflix and Disney+ benefit from forward visibility of cash flow, which supports investment in expensive original content. - Subscription models tend to create high customer retention as a result of inertia - many subscribers continue paying even when usage falls. - Firms can use data on viewing habits to personalise content and recommendations, increasing perceived value and reducing churn. - However, subscription models depend on high customer acquisition and retention rates, and falling real disposable incomes can prompt cancellations. - Saturation of the streaming market in the UK means that growth in subscriber numbers has slowed, limiting the benefits of the model. - Firms may need to invest heavily in continually refreshed content or new features to justify the recurring charge, raising operating costs.		

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1-2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3-5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are developed. Judgements may be attempted.
Level 3	6-8	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen. Arguments are developed, using logical, coherent chains of reasoning. A balanced awareness of competing arguments.

Demonstrating application (AO2) in responses

Where questions specifically stipulate the use of data or information provided in a stimulus, students:

- must directly reference, interpret or analyse the information provided in the stimulus
- in addition, may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus.

Where questions do not specifically stipulate the use of data or information provided in a stimulus, students:

- must select relevant examples from their own knowledge, these must be directly connected to the context/issues set out in the question, and
- may directly reference, interpret or analyse the information provided in any relevant stimulus.

Question Number	Indicative content	Mark
1(e)	Knowledge 2, Application 2, Analysis 4, Evaluation 4	(12)
	• Aggregate demand is the total demand from all sources in the economy ($C + I + G + X - M$). • Weak aggregate demand reflects lower household spending power following the cost-of-living crisis and several years of declining real wages. • Streaming services are income elastic - consumers tend to cancel discretionary subscriptions first when budgets tighten. • Extract A notes that growth in subscriber numbers has slowed considerably, partly due to falling real disposable incomes and the cost-of-living crisis. • Lower demand may push streaming platforms to introduce cheaper ad-supported tiers and to crack down on password sharing to protect revenue. • Reduced consumer spending power may also push providers to renegotiate content deals and reduce investment in original UK programming, particularly given that production costs have risen by 18%. • Streaming platforms may face higher employment costs given strong nominal wage growth and difficulties recruiting EU talent post-Brexit. • However, streaming services may also benefit from substitution as consumers replace more expensive entertainment such as cinema and live events. • Large platforms with global subscriber bases (e.g. Netflix) may be better placed to absorb weak UK demand than smaller specialist providers. • Some providers may differentiate through unique content or exclusive sports rights, allowing them to retain price-sensitive consumers. • The impact depends on how prolonged the weakness in aggregate demand is, and on whether real wages continue to recover in the medium term. • The streaming sector may need to consolidate - smaller providers may exit or be acquired by larger rivals, reshaping competition in the UK market.	

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	0	A completely inaccurate response.
Level 1	1-2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3-5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented but with limited attempt to address the question. Comparisons and judgements may be attempted.
Level 3	6-9	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, clear chains of reasoning, with well developed arguments. An awareness of the significance of competing arguments is present although this may lack balance.
Level 4	10-12	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen, logical, coherent chains of reasoning, showing full understanding of the question. Arguments are developed and evaluated. A full and balanced awareness of the validity and significance of competing arguments.

Demonstrating application (AO2) in responses

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- may directly reference, interpret or analyse the information provided in any relevant stimulus.

Section B

Question Number	Mark
2(a)	(2)
Knowledge/understanding 2 A small (1) segment of a larger market that targets specific consumer needs/wants (1) <i>NB accept any other suitable alternative. Do not award marks for examples</i>	

Question Number	Mark
2(b)	(4)
Knowledge/understanding 1, Application 3 Knowledge/understanding: 1 mark for formula for PED e.g. % change in Quantity Demanded / % change in Price (1) Application: +14% (1) / -8% (1) = -1.75 (1) NB if no working is shown award marks as below: - If the answer given is -1.75 award 4 marks - If the answer given is -1.8 award 3 marks	

Question Number	Mark
2(c)	(4)
Knowledge/understanding 1, Application 2, Analysis 1 Knowledge/understanding: 1 mark for identifying a benefit e.g. higher profit margins per unit sold (1) Application: up to 2 marks are available for contextualised answers, e.g. BrewDog's Punk IPA retails for £6.00 per four-pack compared with £4.50 for mainstream lager brands (1); BrewDog positions itself as a premium craft beer brand (1) Analysis: 1 mark available for developing the benefit, e.g. by charging a premium price, BrewDog can earn higher revenue per unit, supporting investment in production capacity, marketing and international expansion (1)	

Question Number	Indicative content	Mark
2(d)	Knowledge 2, Application 2, Analysis 2, Evaluation 2	(8)
• Over-utilisation of capacity is when a firm tries to produce more output than its facilities are designed to handle on a sustainable basis. • BrewDog's Ellon brewery is operating at 105% of normal capacity, requiring workers to take on additional shifts. • Production quality may suffer if equipment is run beyond its intended limits, increasing the risk of defects and damaging brand reputation. • Employees may suffer fatigue and lower morale from longer shifts, leading to higher absenteeism, staff turnover and recruitment costs. • Machinery may require more frequent maintenance or repairs, raising operating costs and risking unplanned downtime. • BrewDog may have to outsource production to third-party contract brewers, but this risks compromising its authentic craft brand positioning. • Customers may experience supply shortages, as seen with the suspended launch of 'Lost Lager Light', leading to lost sales and lost market share. • However, the over-utilisation may be a short-term issue if demand stabilises or if planned capacity expansion (e.g. expansion of the Ellon site) comes online. • Over-utilisation can also be a positive sign of strong demand, supporting future investment decisions and signalling brand health to investors.		

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Level 2	3-5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are developed. Judgements may be attempted.
Level 3	6-8	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen. Arguments are developed, using logical, coherent chains of reasoning. A balanced awareness of competing arguments.

Demonstrating application (AO2) in responses

Where questions specifically stipulate the use of data or information provided in a stimulus, students:

- must directly reference, interpret or analyse the information provided in the stimulus

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Where questions do not specifically stipulate the use of data or information provided in a stimulus, students:

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Question Number	Indicative content	Mark
2(e)	Knowledge 2, Application 2, Analysis 4, Evaluation 4	(12)
	• Penetration pricing is when a firm uses a low introductory price to encourage consumers to try a new product. • BrewDog is offering its new BrewDog Originals range at an introductory price of £4.50 per four-pack, compared with the planned full price of £6.50. • The 20% discount aims to encourage UK supermarket shoppers to try the new range and switch from mainstream lager brands such as Stella Artois and Heineken. • If successful, BrewDog will gain market share in the much larger mainstream lager market, which is significantly bigger than the craft beer niche. • Higher sales volumes through supermarkets could allow BrewDog to achieve economies of scale at its Ellon brewery, lowering average costs. • However, low introductory prices may attract bargain-hunters who switch back to cheaper rivals once prices rise to £6.50. • BrewDog's premium brand image may be damaged if it is associated with deep discounts in supermarkets, particularly among its core craft beer customers. • Mainstream lager brands are likely to respond with promotional discounts or marketing campaigns, which may prevent BrewDog from gaining significant market share. • The new product launch coincides with reports of over-utilisation of capacity at the Ellon brewery, which may make it difficult to meet demand at the lower price. • Penetration pricing reduces revenue per unit sold, and BrewDog needs sufficient volume to offset the discounted price. • PED for craft beer may be relatively elastic (around -1.75 in the case of one of its earlier ranges), suggesting that lower prices can substantially increase sales. • Success depends on customer retention once full prices are introduced and on whether the new range is genuinely differentiated from rival mainstream brands.	

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Level 1	1-2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3-5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented but with limited attempt to address the question. Comparisons and judgements may be attempted.
Level 3	6-9	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, clear chains of reasoning, with well developed arguments. An awareness of the significance of competing arguments is present although this may lack balance.
Level 4	10-12	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen, logical, coherent chains of reasoning, showing full understanding of the question. Arguments are developed and evaluated. A full and balanced awareness of the validity and significance of competing arguments.

Demonstrating application (AO2) in responses

Where questions specifically stipulate the use of data or information provided in a stimulus, students:

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- in addition, may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus.

Where questions do not specifically stipulate the use of data or information provided in a stimulus, students:

- must select relevant examples from their own knowledge, these must be directly connected to the context/issues set out in the question, and
- may directly reference, interpret or analyse the information provided in any relevant stimulus.

Section C

Question Number	Indicative content	Mark
3	Knowledge 4, Application 4, Analysis 6, Evaluation 6	(20)
- Economic growth is an increase in the capacity of an economy to produce goods and services, often measured by changes in real GDP. - Income inequality refers to the unequal distribution of income across a population, often measured by the Gini coefficient or by income percentiles. - Rapid UK economic growth over recent decades has not been matched by improvements in income equality - the top 10% of households hold around 43% of total wealth while the poorest 50% hold just 9%. - Critics argue that the pursuit of economic growth has come at the cost of fairness, with rising house prices widening the gap between homeowners and renters. - Growth-orientated policies (e.g. lower taxes on wealth and capital) may increase incentives to work and invest but can disproportionately benefit those who already have significant assets. - Median real wages have barely risen since 2010 despite the UK economy expanding significantly, suggesting that growth alone is not sufficient to raise living standards for all. - However, economic growth may also be the most effective long-term way of reducing inequality. Without growth, government cannot fund redistributive public services such as the NHS, education and welfare. - A progressive tax system already redistributes income from high to low earners, weakening the trade-off between growth and inequality. - Supply-side policies such as investment in education and skills training can support both growth and reduce inequality by raising productivity for lower-paid workers. - The trade-off may depend on the type of growth - growth driven by exports of low-skilled goods may benefit poorer regions, while growth driven by financial services tends to concentrate income in London and the South East. - Higher taxes on wealth and capital gains could fund redistribution but may also reduce incentives to save, invest and innovate, potentially harming long-term growth. - Inequality itself can damage growth if it reduces aggregate demand (since high earners save more of their income) and limits social mobility. - International evidence suggests that countries with strong welfare states (e.g. Scandinavian countries) have managed to maintain both growth and relatively low levels of inequality. - The extent of the trade-off depends on government policy choices, the structure of the tax system, and the type of growth being pursued.		

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1-4	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted, but fail to connect causes and consequences. Limited attempt to address the question.
Level 2	5-9	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented, but connections between causes and consequences are incomplete. Limited attempt to address the question. Comparisons, judgements or conclusions may be attempted, but are unsupported or generic.
Level 3	10-15	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, developed chains of reasoning, showing understanding of connections between causes and consequences. Arguments are well developed and partially evaluated. An awareness of the significance of competing arguments is present although this may lack balance. A conclusion may be attempted but may not show awareness of the significance of competing arguments.
Level 4	16-20	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen and fully integrated to support the argument, well developed and logical, coherent chains of reasoning, showing full understanding of the question. Arguments are fully developed and evaluated. A full awareness of the validity and significance of competing arguments, leading to nuanced and balanced comparisons, judgements or conclusions.

Demonstrating application (AO2) in responses

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- may directly reference, interpret or analyse the information provided in any relevant stimulus.